

ELEVEN

Designing and Implementing Human Resource Accounting Systems

This chapter deals with the problem of designing and implementing systems of accounting for human resources. It provides guidelines for use in developing human resource accounting systems in organizations. This chapter first focuses on the problem of defining the content of a proposed system and then examines the phases in the design and implementation process. It is intended to be used by human resource professionals working together with accounting-information specialists to design their organization's human resource accounting system.

Human Resource Accounting Systems I-V

Different organizations require different degrees of human resource accounting capability. One firm may require only the most rudimentary system, while only the most advanced capability may be satisfactory for another company. Similarly, the human resource accounting capability appropriate for a firm at one stage may be quite inadequate at a later stage. To illustrate the different types of human resource accounting capability, Table 11-1 presents five human resource accounting systems. This table shows various functions of human resource management (human resource planning, decision making, conservation, and so on) and the human resource accounting capabilities provided by each system level.

An organization with a *System I* human resource accounting capability possesses most of the personnel systems that are prerequisite for the implementation of human resource accounting. System I consists of nominal but very elementary human resource accounting capability; that is, it consists of personnel systems which are aimed at the same functions of more sophisticated human resource accounting systems but which lack the advanced capabilities.

In *System II*, the human resource planning function incorporates estimates of costs of recruitment and training. Personnel costs are budgeted separately and not merely lumped in "general and administrative" expenses. Personnel policy decisions are based on a cost-value calculus. For example, personnel selection decisions are based

Table 11-1
HUMAN RESOURCE ACCOUNTING SYSTEMS I-V

Human Resource Management Functions	System I	System II	System III	System IV	System V
	Prerequisite Personnel System	Basic HRA System	Intermediate HRA System	Advanced HRA System	Total HRA System
I. Human Resource Planning	Personnel skills inventory Replacement tables	Estimate costs of recruiting, training, etc.	Replacement Costs	Standard and actual Personnel costs Stochastic personnel Mobility models Personnel simulations	Stochastic rewards valuation model Human resource valuation simulations
II. Human Resource Decision Making: A. Budgetary	Personnel Costs included in "General and Administrative" expenses	Personnel costs budgeted separately	Budgetary system for recruitment, training, etc. Budget replacement Costs	Budget standard and actual costs Original and replacement costs	Human capital budgeting Budget ROI on human capital investment
B Policy		Value-oriented selection decisions	Recruitment vs. training trade-off analyses	Personnel assignment optimization models	Value-based Compensation
III. Human Resources Conservation: A After-the-fact	Turnover rates	Turnover cost	Replacement cost	Opportunity cost	Human resource value depletion
B Before-the-fact	N.A.	Attitudinal data	Expected turnover cost (replacement)	Expected opportunity costs Human resource accountability	Expected conditional and realizable value depletion
IV. Human Resource Evaluation	Performance and potential ratings	Perceived value rankings	Psychometric Predictions of potential value Interval scaling of Value	Measurements of economic value of groups	Measurement of economic value to individuals
V. Human Resource Management Efficiency Control	N.A.	Comparison of actual costs with historical costs	Comparison of budgeted and actual costs Variance analysis	Comparison of actual costs against standard Variance analysis	Interunit comparison of costs